

Durable Power of Attorney for Finances

A durable power of attorney (a form that must be signed in front of a notary public) allows you to appoint a trusted agent to manage your financial affairs if you become unable to do so yourself due to physical disability or mental incapacity. The power of attorney lasts until your death, unless you revoke it. The person you give power of attorney to can enter into contracts, negotiate, pay bills, buy and sell property, and handle your other financial affairs on your behalf if you're not able to. These documents are important for elderly people who may suffer from Alzheimer's disease or senile dementia, but they have to be created and signed while the person still has his mental faculties.

Keep in mind that every institution may not honor your power of attorney. Some banks or brokerage houses may require you to use one of their forms. Even if you have a legitimate legal document, they may refuse to honor your instructions. It would be wise to check with every institution that you'll need to deal with and find out if you need to use a specific form. You also must be very careful whom you choose as your agent as there are many instances of agent's abusing their position by entering into transactions for their own benefit rather than for the benefit of the person they are representing (known as the principal).

Medical Health Care Proxy and Living Will

This document, also known as a Durable Power of Attorney for Health Care, names a designated health care agent to make health care decisions for another if the person executing the document is not fit to make health care decisions for themselves. These decisions can range from signing the hospital admittance papers to making life and death decisions for certain medical procedures. Most states will only allow one person to be a designated health care agent, although you could appoint a backup in case the primary agent cannot, or will not serve in that capacity.
